

unless the Indo-US nuclear deal went through, Russia would not be able to supply the reactors as it was part of NSG.

The year also saw India scrambling to mend its relations with Iran. It was not just Bush who was embarrassed when the US National Intelligence Estimate (NIE) stated with a high degree of confidence that Iran had ceased its nuclear weapons programme in 2003 itself. It punctured any plans Bush had of invading Iran. India had earlier voted against Iran in a IAEA board meeting on the issue and incurred the wrath of Tehran. After the NIE report, foreign secretary Shivshankar Menon flew to Tehran and soothed ruffled feathers.

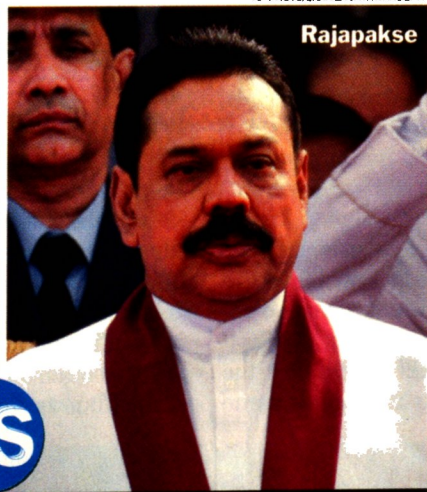
India must help

neighbours douse out their fires and push ahead with the nuclear deal to restore its severely dented credibility

Prabhakaran



Rajapakse



The Sri Lankan government had the Tamil Tigers on the run after the ceasefire was abruptly terminated

In the new year, India may have to do a lot more dousing of fires whether in the neighbourhood or with its relations with major powers like the US and Russia. The litmus test would again be the handling of the nuclear deal. Possibly a good New Year resolution for the Manmohan Government is to stop being 'redmailed' by the Left over the deal and instead proceed with it. As Shakespeare once wrote, "Cowards die many times before their deaths, the valiant never taste death but once."

TRENDS 2008

AMERICAN FOOTBALL

In 2008, Manmohan's Government is likely to learn the art of playing American football with the Left parties as it seeks ways to push ahead with the civilian nuclear deal without falling. That would see it gain a few yards and then lose some, before making a decisive run for a touchdown, possibly in mid-2008. Or else, a mid-term poll looms.

THOSE NEIGHBOURS

The storm clouds over India's neighbours are unlikely to dissipate in a hurry. While a win for Bhutto's PPP is given, the tussle with Musharraf would only worsen. Meanwhile, in Sri Lanka the government would engage in a decisive battle with the Tamil Tigers and India would be forced to push for a satisfactory devolution package for the Tamils.

RUSSIAN WARMTH

Despite the current bout of bad blood between the two countries, relations between India and Russia will improve in 2008 as they strive to overcome their differences. With the Indo-Russian friendship year kicking off by February, pending defence deals are likely to reach a satisfactory conclusion. The two would continue their all-weather friendship much to everyone's relief.

REST OF THE WORLD

China would emerge prominently in India's focus—trade will get a boost while on the border dispute status quo may prevail. India would make major efforts to improve relations with Middle Eastern countries especially Iran. It would continue its heightened engagement with the EU and push for firmer trade commitments with the ASEAN. In Africa the quest for energy tie-ups would be followed in earnest.